

The Quiet Mobilization

Why the Green Energy Transition and U.S. Defense Reconstitution Cannot Both Be Resourced

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A policy memorandum · June 2026

The Green Energy Transition

Most Americans heard the phrase for the better part of a decade. Solar panels on roofs. Electric vehicles in driveways. Wind farms on the horizon. Grid-scale batteries to back up the renewables. A federal tax credit for each one. The phrase that wrapped all of it was the green energy transition — presented as both climate policy and industrial strategy, a generational project to swap out the fossil-fueled economy for a clean-electron one.

By mid-2025, most of it had been dismantled. The consumer tax credits for residential solar, electric vehicles, and home electrification were repealed. International climate commitments were withdrawn from. The Department of Energy renamed laboratories to strip “renewable” from their names. The Environmental Protection Agency repealed the legal foundation under federal climate regulation. The public reasons given were cost, market neutrality, and Chinese supply chain dependence.

Each reason is non-false. None of them, taken on its own, explains the comprehensiveness or the sequencing of what was undone. This memorandum offers a different reading: that the rollback is legible as the downstream consequence of a single mathematical constraint, and that the resulting policy stack carries a historical signature worth naming — not as a prediction of imminent war, but as a description of what the choices look like when they are laid out together.

Thesis

The minerals required to power a civilian green energy transition are substantially the same minerals required to build modern military hardware. The supply available outside Chinese control cannot serve both at scale, and cannot be expanded fast enough to do so within the timeline that matters. A choice has therefore been made, implicitly, across multiple policy instruments: the civilian transition has been deprioritized, and the defense supply chain has been placed on a mobilization-grade

reconstitution schedule. The signature of that decision resembles the signature of past industrial mobilizations for great-power conflict. Whether the underlying conflict ever occurs is a separate question. The resource allocation has already been made.

The Previous Program

The Inflation Reduction Act of 2022 was the legislative spine of the U.S. climate transition. Its architecture was tax-credit-driven rather than regulatory: rather than mandating outcomes, it adjusted economics so that capital flowed toward solar, wind, batteries, electric vehicles, and grid storage. The implicit bet was that demand subsidies would pull domestic manufacturing into existence before the political coalition supporting them eroded.

The bet failed on the timeline. Credits flowed immediately; domestic manufacturing capacity required five to seven years to stand up at scale. In the interim, deployment of the subsidized technologies required imports from the only supplier capable of meeting demand: China, which by 2024 mined approximately 69 percent of global rare earth elements, processed between 85 and 91 percent of them, and produced roughly 90 percent of high-performance rare earth magnets. The federal government was, in net effect, paying American consumers to install Chinese hardware financed by American taxpayers, while the trade balance and strategic dependency consequences accumulated unaddressed.

The cost structure made domestic competition impossible by tax policy alone. Chinese manufacturing advantages were not marginal — vertically integrated polysilicon-to-module supply chains, state-directed capital at non-market rates, coal-subsidized industrial electricity, and decade-plus learning curves at scale produced cost gaps no credit could close.

The Rollback as Repatriation

The One Big Beautiful Bill Act of July 2025 terminated the consumer-facing IRA credits: residential solar, electric vehicle purchases, home electrification, fuel-switching rebates. It preserved most of the industrial credits supporting domestic battery, magnet, and critical minerals processing. This is not the signature of climate denial. It is the signature of supply chain repatriation: cut the credits that flow value to Chinese manufacturers; retain the credits that build domestic capacity.

The accompanying legal architecture confirms the read. Executive Order 14156 (*Declaring a National Energy Emergency*, January 20, 2025) defined “energy” to include hydrocarbons, nuclear, geothermal, hydropower, and critical minerals while explicitly

excluding wind, solar, and batteries — a drafting choice that determines which supply chains the Defense Production Act can be invoked to accelerate. Executive Order 14241 (*Immediate Measures to Increase American Mineral Production*) suspended National Environmental Policy Act review for critical mineral projects. The February 2026 repeal of the EPA’s 2009 endangerment finding stripped the legal foundation under federal climate regulation, removing the standing on which environmental review could slow domestic extraction. The Department of Defense was renamed the Department of War — a designation last in routine use during the original 20th-century mobilizations.

The Mineral Overlap

The category labeled “critical minerals” is not two baskets — one for green technology, one for defense. It is a single basket allocated across competing uses. Neodymium, praseodymium, dysprosium, terbium, samarium, cobalt, lithium, nickel, graphite, gallium, germanium, tantalum, and antimony appear on both lists. The dysprosium that goes into an electric vehicle motor is the dysprosium that goes into a missile guidance system. The lithium that goes into grid storage is the lithium that goes into a submarine battery.

The military demand profile is concrete. An F-35 Lightning II contains approximately 900 pounds of rare earth elements. An Arleigh Burke-class destroyer contains roughly 5,200 pounds. A Virginia-class submarine contains approximately 9,200 pounds. These figures are per platform and do not include the missile inventories, sensor systems, electronic warfare suites, and supporting infrastructure that consume the same minerals at scale.

The Drone Forcing Function

The war in Ukraine demonstrated the binding constraint. Ukrainian production reached approximately 1.2 million drones in 2024, deployed at roughly 9,000 per day. By 2024, drones had displaced artillery as the most lethal battlefield weapon — the historical “god of war” unseated by a system whose every motor depends on neodymium-iron-boron magnets, every battery on lithium-ion chemistry, every camera on indium and gallium, every flight controller on Chinese semiconductors.

Where artillery was metallurgically simple — steel, copper driving band, explosive fill — the drone is critical-mineral-dense at industrial scale. The shift is also additive rather than substitutive: artillery consumption has not declined; drones layer on top. Total munitions mineral intensity has risen by orders of magnitude even as total munitions tonnage has not. In April 2025, China imposed export licensing on seven

heavy rare earth elements, demonstrating the dependency was a live vulnerability, not a theoretical one.

In response, Executive Order *Unleashing American Drone Dominance* (June 2025) directed expansion of U.S. drone production across commercial and military sectors. Effective January 1, 2027, federal procurement rules will ban Chinese-origin rare earths from the defense supply chain entirely — from mining through finished components. Prime contractors must certify their magnet supply chains before that date or lose contracts.

The Stockpile as Tell

The One Big Beautiful Bill Act appropriated approximately \$7.5 billion across multiple Pentagon vehicles for critical minerals: \$2 billion to expand the National Defense Stockpile, \$5 billion to the Industrial Base Fund for supply chain investment, \$500 million for credit programs through the Office of Strategic Capital, and \$1 billion for Defense Production Act financing through September 2027. Specific actions include a \$400 million federal equity investment in MP Materials (operator of the Mountain Pass mine), a \$150 million loan for heavy rare earth separation, a \$110-per-kilogram government price floor on neodymium-praseodymium oxide, \$500 million in cobalt procurement, \$245 million in antimony, \$100 million in tantalum, and \$45 million in scandium.

Target inventory levels include 7,500 metric tons of cobalt and 50,000 metric tons of graphite. By statute, materials in the National Defense Stockpile are accessible only during declared national emergency or by order of the Undersecretary of War, and only for national defense purposes — they cannot be released into civilian markets to support electric vehicle or grid storage manufacturing.

Stockpiles are not built for ordinary supply chain management; routine inventory and contracts handle that. Stockpiles are built when the supply chain is expected to be unavailable. The quantities, the statutory walls around them, and the 2027 deadline for defense supply chain decoupling are sized for a scenario in which Chinese supply is gone, not merely expensive.

The Gas Bridge

The April 2026 Presidential Determination under Section 303 of the Defense Production Act extended emergency authority to “large-scale energy and energy-related infrastructure,” placing gas-fired baseload generation under the same mobilization legal framework as munitions production. Renewable generation requires

the same minerals being claimed by the defense supply chain reconstitution. Gas-fired generation requires steel, concrete, turbines, and pipeline — capabilities the existing U.S. industrial base retains. Load growth from data centers, reshored manufacturing, and electrified industry is being met with gas because gas is the one option that does not compete with the priority mineral pipeline.

What the Sequence Looks Like

Each action above has a defensible standalone justification: energy cost, supply chain security, market neutrality, domestic production, reduced regulatory burden, restored constitutional limits on administrative agencies. Each justification is non-false. Taken together, they describe an industrial reorientation whose signature historically appears during mobilization for great-power conflict, on a timeline of approximately five to ten years.

The signature is not the same as the outcome. Industrial mobilizations have been undertaken in the past that did not result in war; others have. What is unambiguous is that the resource allocation has been made. The minerals that would have powered a civilian transition are being claimed by the defense supply chain reconstitution. The renewables they would have enabled are being substituted, on the timeline that matters for load growth, by gas-fired generation that does not depend on the same minerals. This is the arithmetic outcome of a finite supply confronted by two demands that exceed it in combination.

The choice is not stated publicly because stating it would split both political coalitions. The coalition supporting the climate retreat would fracture if defense reconstitution were named as the reason. The coalition supporting defense reconstitution would fracture if climate sacrifice were named as the cost. The current framing — energy dominance, cost relief, supply chain security — permits both halves of the policy to proceed without either being honestly described.

This pattern is not unusual. The 1940 conversion of U.S. industry was publicly framed as Lend-Lease and aid to allies long before the internal decision to prepare for direct entry was acknowledged. The signature is recognizable to operators familiar with how mobilization actually proceeds: legal architecture installed faster than stated justifications require, physical infrastructure moving before any of it is announced, rhetoric trailing the build orders by twelve to eighteen months.

The green energy transition was not abandoned for ideological reasons. It was deprioritized because the mineral arithmetic did not permit both it and the defense reconstitution at the scale either required. The defense reconstitution won the

allocation. Gas will carry the load growth in the interim. The civilian transition will resume, if at all, after the window closes — on whatever timeline the post-reconstitution industrial base can support, and at whatever pace non-Chinese mineral supply chains eventually mature.

Whether or not the underlying conflict ever materializes, the country that knew how to mobilize in the 20th century is quietly relearning how to do it. The build orders are flowing. The rhetoric has not yet caught up.

Primary sources. Executive Orders 14156, 14241, and Unleashing American Drone Dominance (American Presidency Project archive). One Big Beautiful Bill Act, P.L. 119-21 (July 2025). Presidential Determination under Defense Production Act §303 (April 2026). IEA Global Critical Minerals Outlook 2025. U.S. Department of War / Defense Logistics Agency procurement records. CSIS Drone Supply Chain Analysis (December 2025). Sabin Center Climate Backtracker. U.S. Geological Survey critical minerals assessments.

End of the memorandum.

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June 2026 — Palmer Lake, Colorado
